Power Vol Desk

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Weekly Power Volatility Recap
Week Ending March 6, 2026

PJM

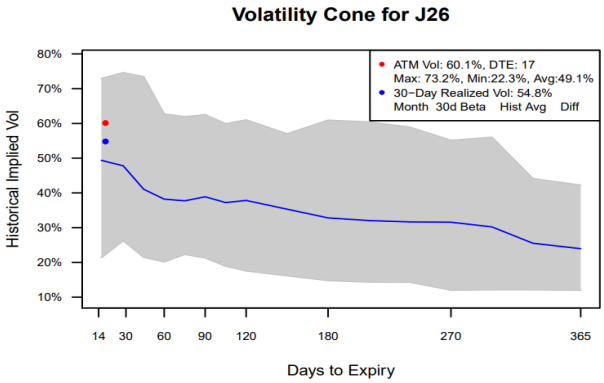
Theme: Gradual Repricing of Upside Risk

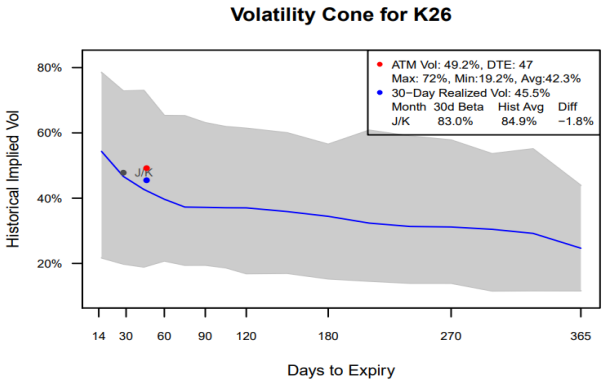
This week saw a steady firming in implied volatility and continued steepening of call skew across the power vol surface. While the geopolitical backdrop remained fluid, the market increasingly appeared comfortable embedding a persistent risk premium tied to the ongoing siege in Iran and broader risks to Middle Eastern energy infrastructure. Rather than abrupt repricing events, the week was characterized by a gradual but consistent re-rating of upside risk.

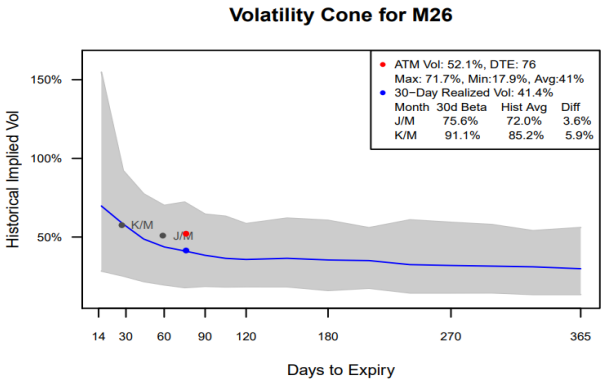
Friday introduced a notable cross-commodity divergence. Gas forward prices weakened, accompanied by softer implieds and some flattening of call skew. Power forwards, by contrast, remained firm, supported by strong cash pricing, with ATM implied volatility firming and call skew continuing to steepen.

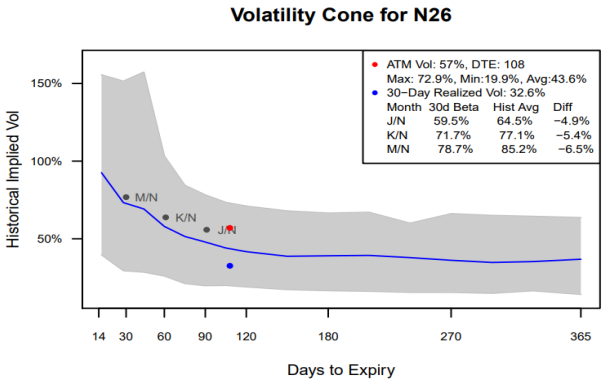
Surface Moves

ATM implieds and 25d call skew firmed across all liquid tenors. J26 ATM implieds rose 10.4% on the week to finish at 60.00%. The most notable skew move occurred in NQ26, where the 25d call increased by 1.45 vols relative to ATM.









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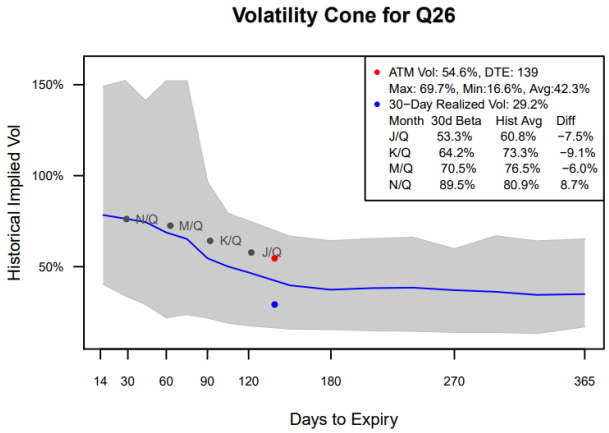
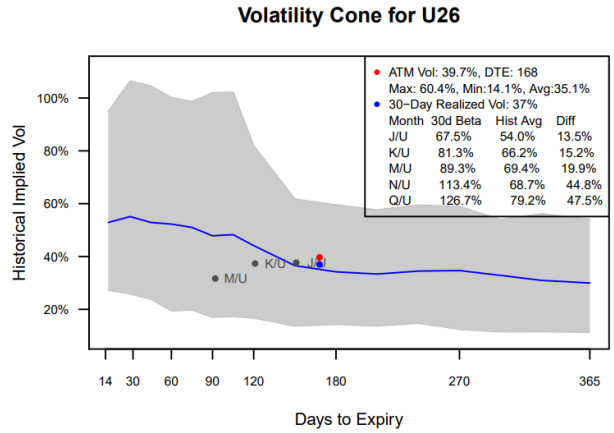
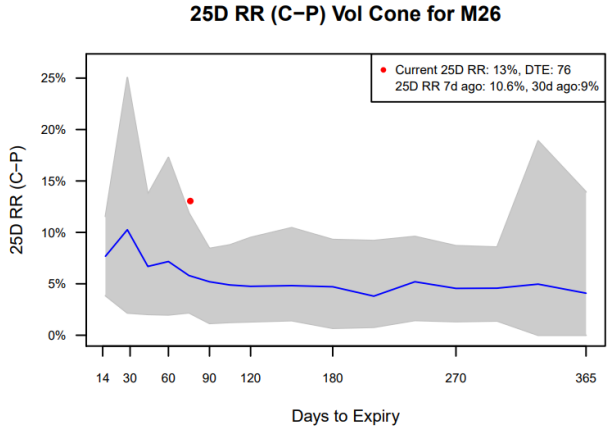
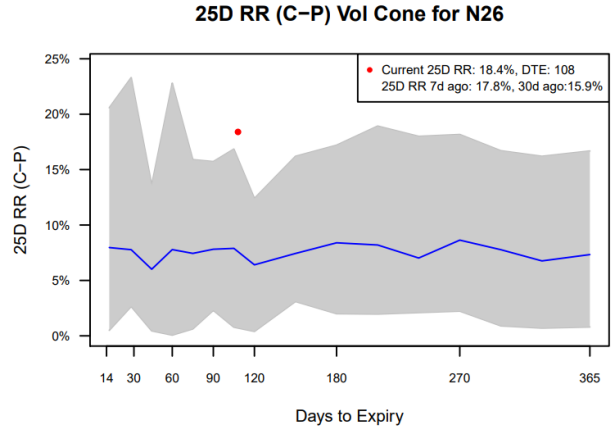
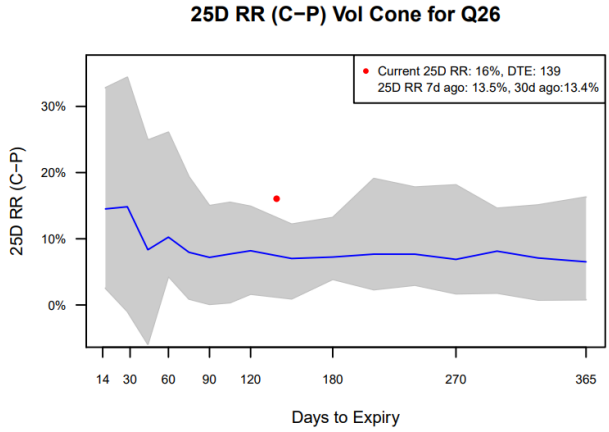


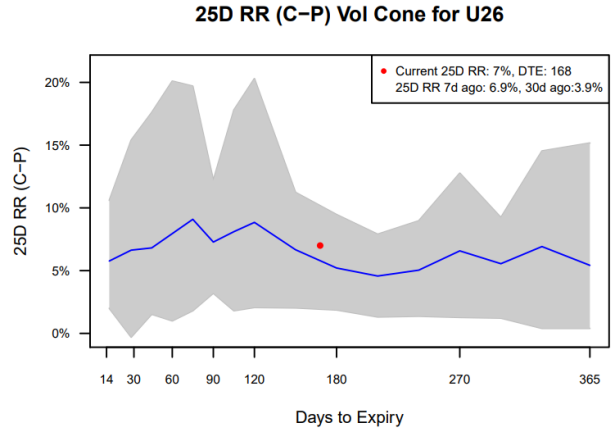


The K26 25d risk reversal moved from 4.4% to 5.8% over the past seven days. While this represents a sharp move, the skew remains only modestly above its historical average and still well below the historical upper bound near 9%. NQ26 continues to stand out as the most extended area of the surface, with ATM implieds above historical averages and skew in this strip remaining above historical bounds. With strong buying interest, we do not see this changing soon.









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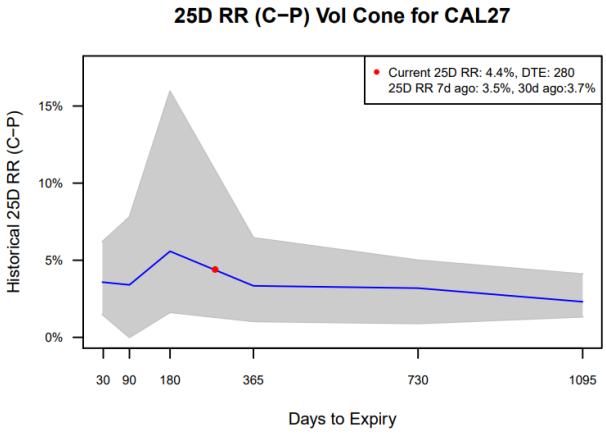
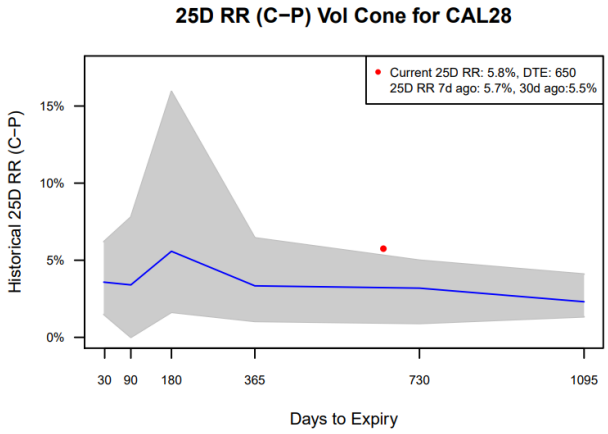
Swaption implieds also firmed modestly. C27 ATM IV rose 0.85 vols on the week to finish at 22.75%. The 25d RR in both C27 and C28 steepened as well, increasing 0.25 vols to 4.50% in C27 and 0.3 vols to 6.00% in C28.





Flow

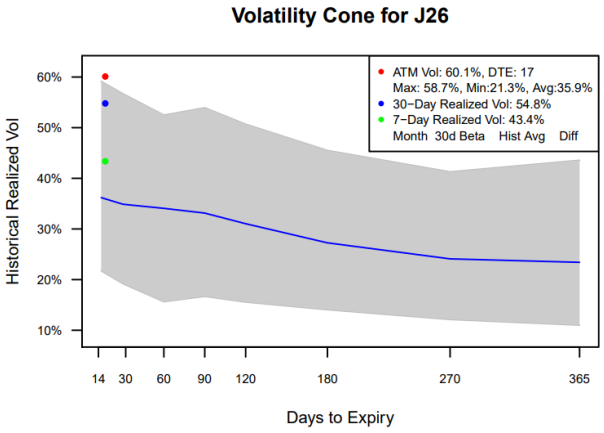
Call buying remained a consistent theme throughout the week. The K26 75 call was particularly well bid, though demand for upside exposure was healthy across most monthly tenors.

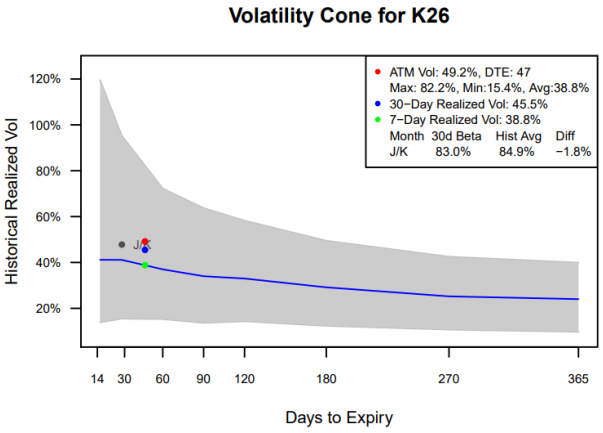
The most notable activity occurred in NQ26, where a lack of natural sellers has repeatedly forced implieds higher as the market searches for a point of equilibrium. The NQ 125/75 fence traded for more than 22 points of skew, underscoring continued demand for upside structures.

In swaptions, the two notable prints of the week, the 85/100 1x2 call spread and the 60/55 1x2 put spread, both reinforced the theme of steepening skews.

Relative Value

Realized volatility in the front of the surface has begun to move meaningfully. J and K realized vols are both above historical averages, with J approaching its historical upper bound. M26 30-day realized volatility sits roughly at its historical average.





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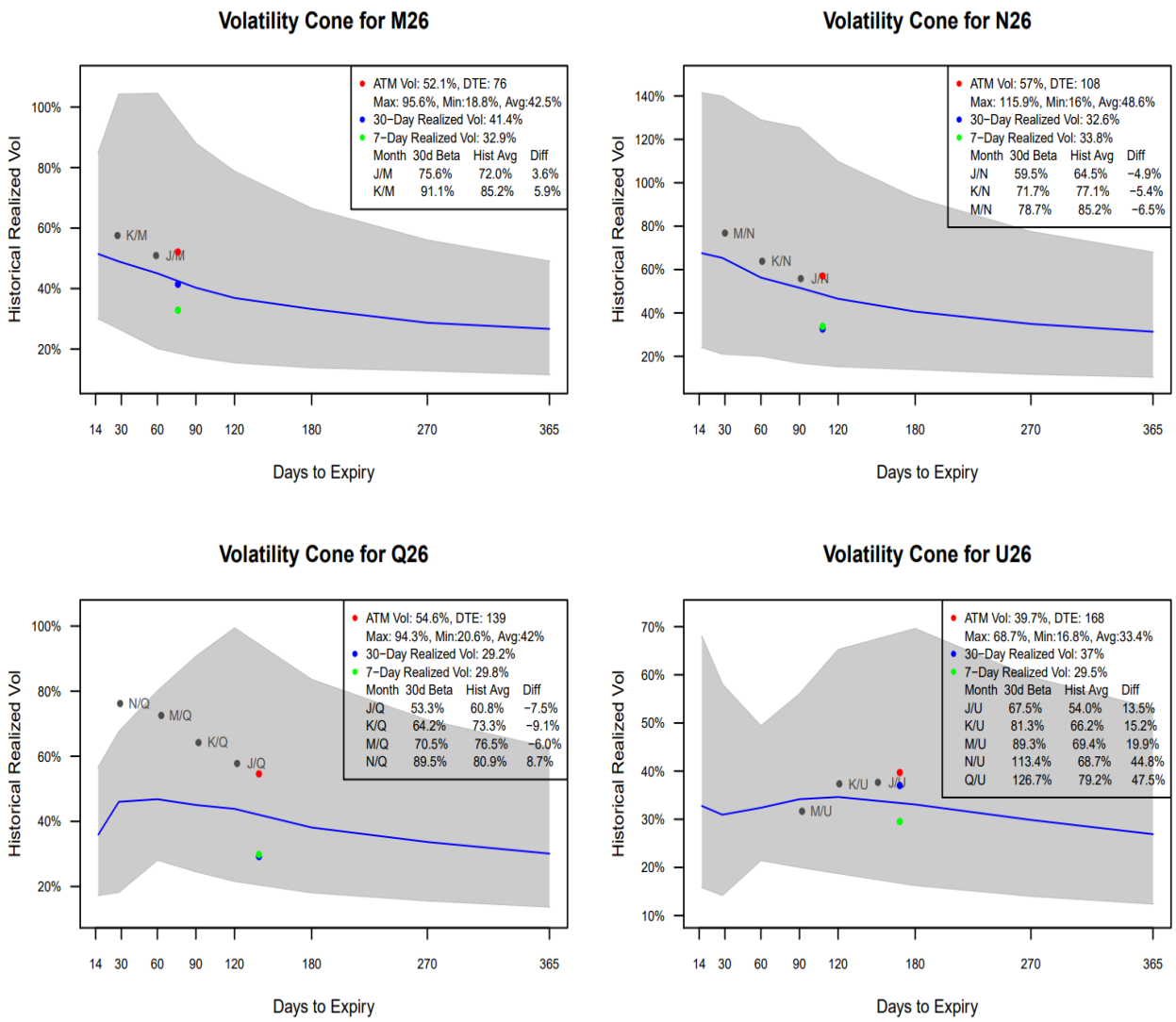
In J26 specifically, ATM IV at 60% is only 5.5 vols above 30-day realized volatility, suggesting that despite the sharp move higher in implieds, risk premium here is not overstretched.

Across the Q2 tenors, 30-day RV remains above 7-day RV, though that dynamic reverses in NQ where 7-day RV now sits slightly above 30-day RV. Even so, the gap between ATM IV and realized volatility remains substantial in NQ at roughly 25 vols.



In swaptions, C27 ATM implied volatility remains in the lower quartile of its historical distribution when 2022 data is included, or roughly at its historical average if 2022 is excluded. Seven-day realized volatility in C27 currently sits at 21.9%, only 0.8 vols below ATM implied. The 25d RR in C27, at 4.5%, remains roughly 1.5 vols lower than C28. All of this suggests that the C27 implied vol surface may still have room to move higher. At 6%, the C28 25d RR now sits above its historical upper bound.

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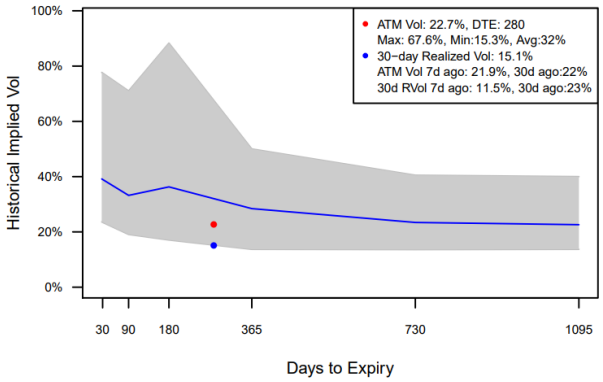
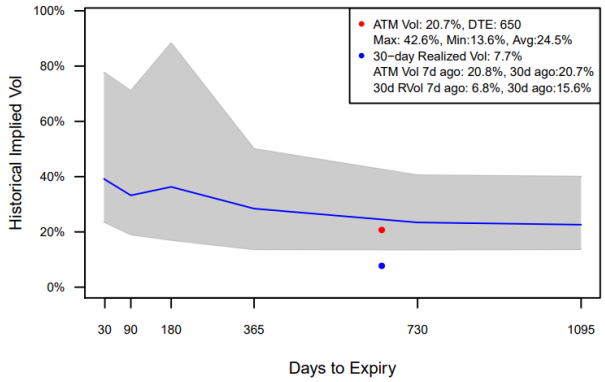
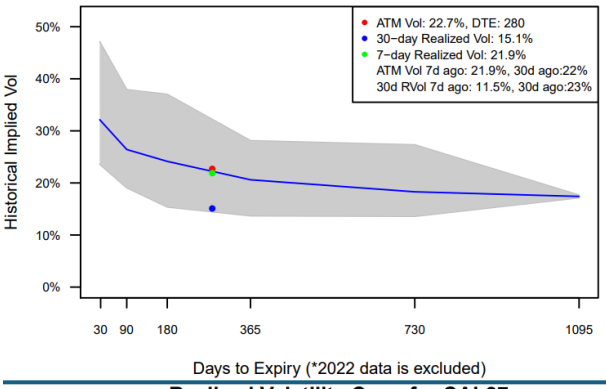
Implied Volatility Cone for CAL27



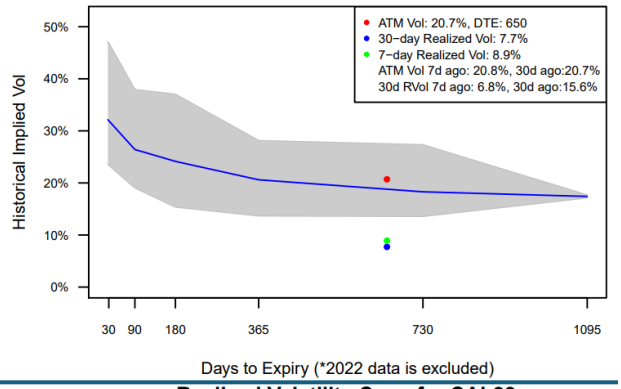
Implied Volatility Cone for CAL28



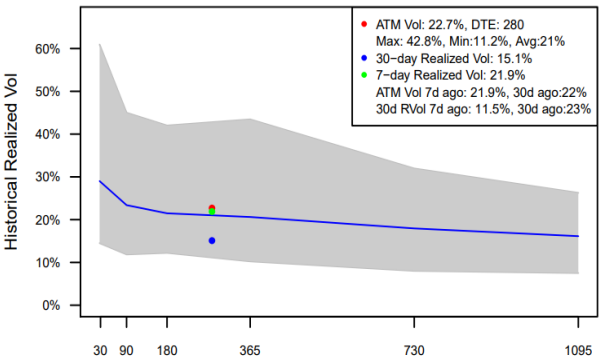
Implied Volatility Cone for CAL27



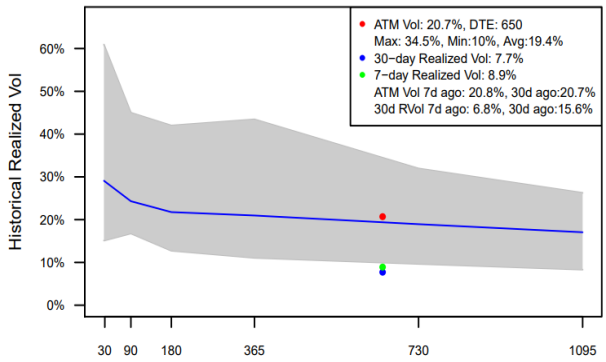
Implied Volatility Cone for CAL28



Realized Volatility Cone for CAL27



Realized Volatility Cone for CAL28



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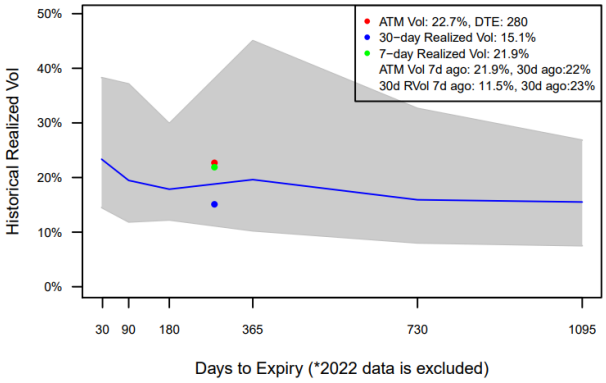

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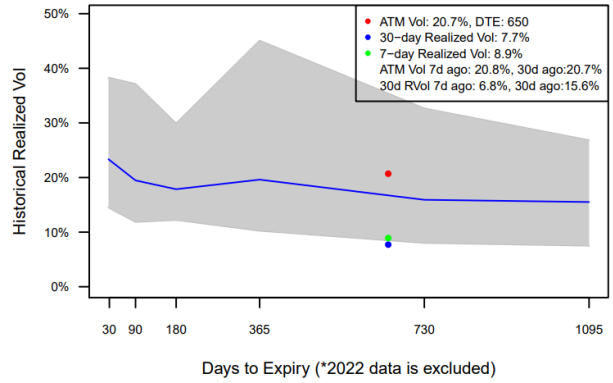

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Desk View

With the siege in Iran increasingly appearing to be a medium- to longer-term operation, and modern drone warfare posing a persistent threat to regional energy, it is difficult to see upside tail risk dissipating in the near term.

Another potential macro factor worth monitoring is weather risk later in the year. Some forecasters are beginning to call for the development of a "Super El Niño," potentially rivaling the strongest events on record. Such an outcome could bring a significantly warmer summer and potentially set 2027 up to challenge historical temperature records. While it remains early and these projections could shift throughout the spring, both the NOAA Ensemble and ECMWF models are currently pointing toward a stronger El Niño developing.

	Futures and ATM Vol (w/w chg)				Volatility Skew (w/w chg)					
Tenor	Futures ($)	ATM Vol	ATM Chg	B/E ($)	25D Put	25D Call	Put Skew	PSkew Chg	Call Skew	CSkew Chg
J26	64.85	60.00%	10.40%	2.037	58.50%	63.25%	-1.50%	-0.05%	3.25%	0.55%
K26	63.58	49.25%	4.85%	1.639	46.50%	53.00%	-2.75%	-1.80%	3.75%	0.15%
M26	69.85	52.00%	2.50%	1.901	45.75%	59.00%	-6.25%	-1.70%	7.00%	1.00%
N26	102.53	57.00%	1.70%	3.059	49.00%	67.25%	-8.00%	0.50%	10.25%	1.00%
Q26	86.65	54.50%	3.50%	2.472	47.75%	63.75%	-6.75%	-0.65%	9.25%	1.85%
U26	67.55	39.75%	1.55%	1.405	37.50%	44.50%	-2.25%	0.05%	4.75%	0.15%

	Futures and ATM Vol (w/w chg)				Volatility Skew (w/w chg)					
Tenor	Futures ($)	ATM Vol	ATM Chg	B/E ($)	25D Put	25D Call	Put Skew	PSkew Chg	Call Skew	CSkew Chg
Cal27	74.45	22.75%	0.85%	0.887	20.75%	25.25%	-2.00%	-0.10%	2.50%	0.15%
Cal28	72.55	20.75%	-0.05%	0.788	18.00%	24.00%	-2.75%	0.05%	3.25%	0.25%
Cal30	70.28	20.00%	0.00%	0.736	18.25%	23.25%	-1.75%	-0.05%	3.25%	-0.15%